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Case Number: 24PSCV03211 Hearing Date: July 16, 2026 Dept: 6

CASE

NAME: L.A.Y.

Meat Company v. EGI Monterey Park LLC, et al.

Cross-Defendant

Dean Huang's Demurrer to Cross-Complaint

TENTATIVE

RULING

The Court SUSTAINS Cross-Defendant Dean Huang's Demurrer to each cause of action of the Cross-Complaint with 20 days' leave to amend.

Cross-Defendant Dean Huang is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a business dispute. On September 26, 2024, plaintiff L.A.Y. Meat Company (Plaintiff) filed this action. On February 6, 2025, Plaintiff filed the operative Second Amended Complaint (SAC) against defendants Andros Bistro, LLC, a California LLC, dba Delicious Food Corner (Andros Bistro), Kam Yeung Kwan (Kwan) (collectively, Defendants), and Does 1 through 10, alleging causes of action for breach of contract, breach of implied covenant of good faith and fair dealing, fraud, and unfair trade practices in violation of Cal. Bus. & Profs. C. § 17200 et seq.

On February 5, 2025, cross-complainants Andros Bistro, LLC, a California LLC, dba Delicious Food Corner and Kam Yeung Kwan (collectively, Cross-Complainants) filed a cross-complaint against cross-defendants L.A.Y. Meat Company, Po Yung Tsoi, Wesley Tsoi, and Roes 1 to 10, alleging causes of action for breach of contract, breach of implied covenant of good faith and fair dealing, fraud, and unfair trade practices in violation of Cal. Bus. & Profs. C. § 17200 et seq. On October 16, 2025, Cross-Complainants filed an amendment to the Cross-Complaint, substituting Pang Cho Tsoi in place of Roe 1. On February 9, 2026, Cross-Complainants filed an amendment to the Cross-Complaint, substituting Dean Huang (Huang) in place of Roe 2. On June 25, 2026, Cross-Complainants filed an amendment to the Cross-Complaint, substituting Kendrick Lee in place of Roe 3. All cross-defendants may be collectively referred to as "Cross-Defendants."

On June 8, 2026, Huang demurred to the Cross-Complaint. On June 30, 2026, Cross-Complainants opposed the Demurrer. On July 8, 2026, Huang replied to the Opposition.

LEGAL STANDARD

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*)). It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

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demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider

contents of release not part of court record].)

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demurrer can be utilized where the “face of the complaint” itself is incomplete or discloses some defense that would bar recovery. (Guardian North Bay, Inc. v. Superior Court (2001) 94 Cal.App.4th 963, 971-972.) The “face of the complaint” includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94; see also Barnett v. Fireman’s Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505 [“[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader’s allegations as to the legal effect of the exhibits”].)

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demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046-1047.)

DISCUSSION

Meet and Confer

The Court finds Huang’s efforts to meet and confer before bringing this Demurrer sufficient. (Gross Decl., ¶ 9; Code Civ. Proc., § 430.41, subd. (a).)

First Cause of Action – Breach of Contract

To state a cause of action for breach of contract, the plaintiff must allege facts demonstrating “(1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s breach, and (4) the resulting damage to the plaintiff. [Citation.]” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) “A cause of action for breach of contract requires pleading of a contract, plaintiff’s performance or excuse for failure to perform, defendant’s breach and damage to plaintiff resulting therefrom. [Citation.] A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. [Citation.]” (McKell v. Washington Mut., Inc. (2006) 142 Cal.App.4th 1457,

1489.)

Huang demurs to the First Cause of Action of the Cross-Complaint for breach of contract on the grounds that it fails to state facts sufficient to constitute a cause of action and on the grounds that it is uncertain. Huang contends the alleged agreement is only between Plaintiff and Defendant Kwan, and that Huang is not a party to any of the contracts.

In opposition, Cross-Complainants contend that the factual allegations against Huang were *ro*e allegations and therefore all *ro*e allegations automatically apply to all causes of action upon substitution. Cross-Complainants contend they were genuinely ignorant of the facts concerning Huang at the time they filed the Cross-Complaint and contend they received documents from Cross-Defendants earlier this year in which Huang was purportedly communicating with Cross-Defendant Pang Cho Tsoi as evidence that Huang was secretly working for Cross-Defendants.

The Court finds the Cross-Complaint fails to allege sufficient facts to state a cause of action for breach of contract against Huang. The Cross-Complaint alleges that the essential terms of the agreements between Cross-Complainants and Cross-Defendants are the invoices attached to the Complaint as Exhibit A. None of those invoices mention Huang as being a party to them or even provide the terms of the alleged agreements for that matter. (Compl., Ex. A.) Cross-Complainants cannot avoid demurrer to this cause of action by relying on their *ro*e allegations because facts appearing in an exhibit attached to a complaint take precedence over contradictory allegations in complaint. (See *Moran v. Prime Healthcare Mgmt., Inc.* (2016) 3 Cal.App.5th 1131, 1145-1146.) Also, the documents Cross-Complainants purportedly received from Cross-Defendants are not alleged in or referenced in the Cross-Complaint, and the Court is limited to allegations in the Cross-Complaint or matters subject to judicial notice on demurrer. (*Blank v. Kirwan*, supra, 39 Cal.3d at p. 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) Further, the Cross-Complaint alleges that Huang was the head chef solely responsible for placing meat orders and verifying delivery orders with Cross-Defendants. (Cross-Compl., ¶ 14.) There are no specific allegations that Huang was a party to any agreement.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Cross-Complaint's First Cause of Action as to Huang with leave to amend.

Second Cause of Action – Breach of Implied Covenant of Good Faith and Fair Dealing

“There is an implied covenant of good faith and fair dealing in every contract that neither party will do anything which will injure the right of the other to receive the benefits of the agreement. [Citation.]” (Comunale v. Traders & Gen. Ins. Co. (1958) 50 Cal.2d 654, 658 (Comunale).) To allege a breach of the implied covenant of good faith and fair dealing, the plaintiff must allege, “something beyond breach of the contractual duty itself” and it has been held that “[b]ad faith implies unfair dealing rather than mistaken judgment” (Careau & Co. v. Sec. Pac. Bus. Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 (Careau), internal citations omitted.)

Huang demurs to the Second Cause of Action of the Cross-Complaint for breach of the implied covenant of good faith and fair dealing that it fails to state facts sufficient to constitute a cause of action and on the grounds that it is uncertain. Huang contends this cause of action requires the existence of a contract between Huang and Cross-Complainants and the Cross-Complaint does not allege there was any contract between Huang and Cross-Complainants.

Cross-Complainants’ arguments are the same as those set forth above regarding the First Cause of Action.

The Court finds the Cross-Complaint fails to allege facts sufficient to constitute a cause of action for breach of the implied covenant of good faith and fair dealing. As set forth above, the Cross-Complaint fails to allege facts demonstrating the existence of a contract between Huang and Cross-Complainants, which is essential for this cause of action. Also, the Court notes that Cross-Complainants must allege facts demonstrating a breach beyond the purported contractual duty itself. (See Careau, *supra*, 222 Cal.App.3d at p. 1394.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Cross-Complaint’s Second Cause of Action as to Huang with leave to amend.

Third Cause of Action – Fraud

To state a cause of action for intentional misrepresentation, the plaintiff must allege facts demonstrating: “(a) misrepresentation (false

representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations.]” (Lazar v. Superior Ct. (1996) 12 Cal.4th 631, 638 (Lazar).) “In California, fraud must be pled specifically; general and conclusory allegations do not suffice. Thus the policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect. This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered. A plaintiff’s burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (Id. at p. 645, internal quotation marks, paragraph mark, and citations omitted, italics in original.)

Huang demurs to the Third Cause of Action of the Cross-Complaint for fraud on the grounds that it fails to state facts sufficient to constitute a cause of action and on the grounds that it is uncertain. Huang contends the Cross-Complaint fails to allege facts with sufficient specificity regarding what representations were made, who made them, where they were made, when they were made, and how they were made. Huang contends the Cross-Complaint fails to allege specific representations of existing facts that were false that caused Cross-Complainants to rely on them.

In opposition, Cross-Complainants contend that the lack of specificity because the relevant evidence is properly pled as the “Roe 2 Dean Huang” simply participated in it. Cross-Complainants contend the Cross-Complaint alleges that Plaintiff made various representations regarding products, knowingly inflated the prices, and knowingly provided wrong products with the intent of defrauding Cross-Complainants. Cross-Complainants contend Plaintiff’s fraudulent statements induced them to incur financial losses, i.e. approximately \$150,000 worth.

The Court finds the Cross-Complaint fails to allege sufficient facts to state a cause of action for fraud against Huang. The Cross-Complaint fails to allege fraud with the requisite specificity, such as “how, when, where, to whom, and by what means the representations were tendered.” (Lazar, supra, 12 Cal.4th at p. 645; Cross-Compl., ¶¶ 12-16.) The Cross-Complaint alleges that the Plaintiff made oral and written statements and

false promises. (Cross-Compl., ¶¶ 31-33.) There are no allegations of fraud as to Huang and certainly no allegations meeting the specificity requirements as to Huang.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Cross-Complaint's Third Cause of Action as to Huang with leave to amend.

Fourth Cause of Action – Unfair Trade Practices in Violation of Cal. Bus. & Prof. C. § 17200 et seq.

“The standard for finding an unfair practice in a consumer action is intentionally broad, thus allowing courts maximum discretion to prohibit new schemes to defraud. [Citation.] The test of whether a business practice is unfair ‘involves an examination of [that practice’s] impact on its alleged victim, balanced against the reasons, justifications and motives of the alleged wrongdoer. In brief, the court must weigh the utility of the defendant’s conduct against the gravity of the harm to the alleged victim [Citations.] ... [A]n unfair business practice occurs when that practice offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers. [Citation.]” (Candelore v. Tinder, Inc. (2018) 19 Cal.App.5th 1138, 1155, internal quotation marks omitted.)

Huang demurs to the Fourth Cause of Action of the Cross-Complaint for unfair trade practices in violation of Business and Professions Code section 17200 et seq on the grounds that it fails to state facts sufficient to constitute a cause of action and on the grounds that it is uncertain. Huang contends this cause of action is based on the Third Cause of Action for fraud and that there is no conduct of Huang alleged in this cause and no valid fraud claim against Huang for the reasons stated above.

In opposition, Cross-Complainants contend Plaintiff fraudulently induced Cross-Complainants into entering into the contract by making false and misleading statements regarding the goods to be provide and Plaintiff’s deliberate plan to overcharge and deliver inferior goods without informing Cross-Complainants, resulting in damages of at least \$150,000.

The Court finds the Cross-Complaint fails to allege facts sufficient to state a cause of action for unfair trade practices in violation of Business and Professions Code section 17200 et seq. The Cross-Complaint does not specify

which prong of section 17200 under which the claim is brought. This cause of action also fails because there is no predicate cause of action to support it and fails for the same reasons set forth above. (See Cross-Complaint, ¶¶ 36-40; *Farmers Ins. Exch. v. Superior Ct.* (1992) 2 Cal.4th 377, 383 [“an action based on Business and Professions Code section 17200 to redress an unlawful business practice ‘borrows’ violations of other laws and treats these violations, when committed pursuant to business activity, as unlawful practices independently actionable under section 17200 et seq. and subject to the distinct remedies provided thereunder”]; see also *Puentes v. Wells Fargo Home Mortg., Inc.* (2008) 160 Cal.App.4th 638, 645 [breach of contract claim may form predicate for Business and Professions Code section 17200 claim if it also constitutes unlawful, unfair, or fraudulent conduct].)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Cross-Complaint’s Fourth Cause of Action as to Huang with leave to amend.

CONCLUSION

The Court SUSTAINS Cross-Defendant Dean Huang’s Demurrer to each cause of action of the Cross-Complaint with 20 days’ leave to amend.

Cross-Defendant Dean Huang is ordered to give notice of the Court’s ruling within five calendar days of this order.